Phase III −− US−dollar investor: GCF vs the FX−adjusted FXGCF

Country	R2 (local CF)	GCF	t	R2 GCF	FXGCF	t	R2 FXGCF	N
Belgium	0.032	1.73	(1.58)	0.048	2.18	(2.61)	0.138	353
Germany	0.065	1.75	(1.60)	0.050	2.21	(2.66)	0.147	353
France	0.083	1.75	(1.62)	0.050	2.14	(2.60)	0.137	353
Italy	0.109	1.65	(1.53)	0.041	1.69	(1.98)	0.077	353
Netherlands	0.011	1.75	(1.60)	0.050	2.21	(2.65)	0.145	353
Switzerland	0.146	1.51	(1.52)	0.044	2.19	(3.00)	0.169	353
UK	0.114	1.70	(1.95)	0.070	1.06	(1.34)	0.049	353
Sweden	0.098	2.48	(1.96)	0.074	2.05	(2.08)	0.091	353
Canada	0.114	2.12	(2.85)	0.126	1.64	(2.70)	0.136	353
Japan	0.000	0.46	(0.34)	0.002	1.53	(2.05)	0.064	367
US	0.326	1.38	(4.40)	0.326	0.99	(5.87)	0.420	412

LHS: US−dollar excess return rx_USD_{i,t+12} (Eq 11). 'R2 (local CF)' repeats the dollar return on the local factor for reference; the GCF and FXGCF blocks regress rx_USD on the global (Eq 22) and the FX−adjusted global (Eq 23) factor. HAC t−stats in (.). The US row carries no currency leg. cor(GCF, FXGCF) = 0.78 in this sample, so the two factors are close substitutes.